

AS Economics

Evaluation Techniques for AS

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Introduction

Evaluation is an integral part of AS Economics assessment and is even more heavily weighted in the A2 course. Essentially, it requires you to go one step further than mere analysis and to:

- quantify the importance of your analysis;
- identify the situations and contexts in which the analysis is or isn't valid;
- weigh up evidence and arguments;
- prioritise them; and
- make reasoned judgements about them.

Important key words to remember

You will always know when the exam question requires you to evaluate, as it will include key command words like '**evaluate**', '**examine**', '**assess**', '**discuss**' and '**to what extent?**' Whenever you see these key words you should analyse first then evaluate your answer.

Likewise, you should always tell the examiner when you are about to start evaluating by beginning your evaluative comment with '**However**' or '**To evaluate...**' This makes it easier for the examiner to award you the right marks.

So what is evaluation and how do you do it?

Evaluation is about developing a **certain way of thinking** along the lines suggested in the five bullet points, above. It should not, therefore, be seen as a finite list of points to be memorised; effectively, you can develop your own evaluation points in any given exam question by adopting the following eight techniques as a framework for your thinking.

1. Magnitude

How large or small are the **changes** referred to in the question? If possible, put the data in context by working them out as **percentage** changes. For example, consider a case study on car manufacturing, where steel prices have increased from £200 to £250 per tonne over a two month period.

For your basic analysis, you would say that this represents a rise in the cost of production for car manufacturers, which shifts their supply curve up / left. Then you would say that this raises the price of cars (from P1 to P2), which in turn causes a contraction of demand (from Q1 to Q2) as some potential car consumers are priced out of the market. Remembering also that labour is a derived demand, the fall in car output may result in job losses as factories will probably need to lay off some assembly-line workers.

Then to evaluate the magnitude of the change, you could argue that the £50 rise in steel prices is relatively large, representing a massive 25% increase over a very short time period (i.e. two months). Accordingly, the supply curve will shift quite far upwards / to the left, meaning the rise in car prices, fall in output and the scale of redundancies are all likely to be quite significant.

2. Significance

This is where you consider how large an impact the changes described will have, irrespective of their magnitude. So in the example above, you could point out that steel is a major input in the manufacture of cars and is thus likely to represent a large proportion of total cost. Accordingly, any rise in steel prices is likely to have a significant impact on the cost of production – again, the supply curve will shift relatively far upwards / to the left, meaning the rise in car prices, fall in output and the scale of redundancies are all likely to be very significant.

Alternatively, you can evaluate the significance of the rise in steel prices by questioning the elasticity of demand for cars. Namely, if the demand curve is relatively steep / price inelastic, then the upward shift in the supply curve will cause a large rise in car prices and a small contraction of demand. Conversely, if the demand curve for cars is relatively shallow / price elastic, then the opposite is true (small rise in car prices, large contraction of demand). Note that this evaluation point can be helpfully illustrated with a pair of S&D diagrams.

Of course these aren't the only ways to evaluate the significance of a change. Indeed any consideration of the impact of the changes will get credit. So for example, if there is evidence that car manufacturers are already unprofitable and struggling to survive, you can argue that any rise in any of the production costs – however small or insignificant – will have a disproportionate impact on them, causing large-scale bankruptcies and redundancies.

3. Time-lags

Consider the **short-run** versus the **long-run** impact of the changes described in the question. Usually, your analysis will relate to the immediate short-run impact while your evaluation will consider how things may be different in the long-run.

For example, in 2008 the Government announced that VAT was to be temporarily cut by 2.5% (to 15%) in order to stimulate the economy. Your basic analysis would be that the VAT cut acts as a decrease in the cost of production for car manufacturers, shifting their supply curve vertically downwards. The price of cars would fall, thus causing an expansion of demand (along with further analysis of who benefits from the tax reduction).

But to evaluate, you could point out that this was a temporary tax cut, so in the long-run (when VAT is brought back to its previous level), the supply curve for cars will probably shift back upwards, thereby offsetting the fall in price and the expansion of demand. In fact, as the Government had to raise VAT to 20% (partly to finance the initial tax cut), it is even possible to say that in the long-run, the supply curve will, overall, shift vertically upwards (not downwards) with an overall rise in car prices and a contraction of demand.

In other cases, your analysis will relate to the long-run impact while your evaluation will consider the short-run. For example, in the case of rising steel prices we saw how car manufacturers will face higher costs of production with a consequent rise in car prices, contraction of demand, etc. But will all this happen immediately or in the long-run only? To evaluate our analysis, we should consider the possibility that some car manufacturers have already bought large stockpiles of steel at the previously lower price of £200 per tonne. For

these firms it will be 'business as usual' in the short-run, with rising costs of production only materialising in the long-run (i.e. once current steel stocks have run out).

4. Relaxing the *ceteris paribus* assumption

This refers to the reality that other things are rarely equal. Namely, there may be changes in other variables that **partially or totally offset** the changes referred to in the question.

Again, it is helpful to consider the case of car manufacturers facing a rise in steel prices, hence an increase in their cost of production. To evaluate this scenario, we may question what is happening to the other costs of production in the business. For example, there may have been a fall in wages or a rise in productivity (perhaps due to more advanced robotics), which have all reduced unit labour costs. If so, this will reduce the cost of production, perhaps even offsetting the rise in steel prices.

Alternatively, if car manufacturers are in trouble and on the brink of collapse, it is even reasonable to suggest that the government may offer the industry a subsidy to help it absorb the rising steel prices. If so, then it is again possible to evaluate your analysis of rising steel prices by saying that the supply curve for cars may not shift after all.

5. Likelihood

Consider whether your analysis, **while plausible in principle**, may be **unlikely** to materialise in practice.

Thus in the analysis of rising steel prices we said that there would eventually be redundancies. But car factory workers may be highly skilled and very expensive to train. If so, then you may evaluate your analysis by saying that redundancies are unlikely because car manufacturers would be reluctant to lose their substantial investment in human capital; especially as they will have to recruit and train new staff at great expense, once demand picks up again in the future. This evaluation point is even stronger in the case of law firms (laying off solicitors) or airlines (laying off pilots), where recruitment and training costs are likely to be very high indeed. In such scenarios it may be more likely that the firm will 'hoard' its staff in anticipation of demand picking up fairly soon.

6. Considering sub-categories

This involves breaking down a large concept in order to give a more refined and targeted analysis. For example, the question might ask you whether the demand for 'food' is price elastic or inelastic. You may analyse this by saying that food is a necessity required for survival so demand is likely to be price inelastic. Your analysis may even be backed up by data from the case study, which shows that when food prices rose supermarket revenues also increased, thus implying that the increase in price led to a proportionately smaller fall in quantity demanded.

But food is a very large category and not all of its sub-categories will exhibit the same price inelastic demand. So to evaluate, you can argue that, while demand for rice and bread may be price inelastic, the demand for more luxurious foods like chocolates may be price elastic; as might the demand for caviar, since it is both a luxury and it takes up a larger proportion of income.

This same approach to evaluation can be taken with 'cars'. The overall demand for cars may be price inelastic and this may also be true of more functional cars like Ford Focus, which are seen as necessities for a typical family. However, luxury Marques like Ferrari or Aston Martin, which take up a large proportion of income, may be more price elastic in demand.

7. Considering different contexts

This is similar to 'considering sub-categories' and involves evaluating different scenarios (based on geographical, temporal, income or cultural / taste differences) to provide a more **refined** and **targeted** analysis.

For example, your analysis may reveal that the overall demand for cars is price inelastic. But to evaluate, this is more likely to be true in rural areas with little public transport, hence fewer substitutes; or in wealthy areas, where the price of a car is not a very high proportion of income. Conversely, in big cities which are well-served by public transport, the demand for cars is likely to be more price elastic (due to the greater availability of substitutes); this is especially true in inner-city areas where average incomes are also lower, meaning cars are a relatively higher proportion of income.

A similar evaluation may be applied to food. Thus data may suggest that the EU-wide demand for pasta is price inelastic, but this will surely differ from one country and culture to the next. For example, in Italy, where pasta is the national dish, demand is very likely to be price inelastic. But in other EU countries, where people may be more willing to switch to rice or potatoes, the demand for pasta may be more price elastic.

8. Prioritisation

Prioritisation is usually reserved for concluding paragraphs and involves putting your analysis points into **arank order of significance**. It is quite difficult to do as it requires you to fully justify why one point is more important than another.

For example, in a question that asks you to evaluate why steel prices have risen, you may have analysed the situation by explaining that a) consumer electronics manufacturers in the EU have switched from tin solder to steel solder, b) there is a construction boom in China, which has increased the demand for steel structures and c) speculators have piled into the market to buy up iron ore, thereby raising the price of this main raw material used to make steel.

To evaluate through prioritisation, you might argue that the most significant reason pushing up steel prices is the speculative activity on the commodity markets, since this occurs on a global scale and therefore has the greatest potential to raise the demand for, and the price of, steel. The second most significant factor is the construction boom in China and the least significant factor is the increased use of steel by consumer electronics manufacturers in the EU: while both of these factors relate to just one part of the world (namely, EU or China), the construction industry tends to use a lot of steel to create its grand structures, while the electronics industry uses a much smaller quantity of steel, mainly for soldering.

Whichever way you prioritise the different factors, always be sure to back it up with sound reasoning.

Two final notes on evaluation...

Firstly, as mentioned above, evaluation is not about memorising a finite list of points, but is about developing a particular way of thinking that questions and critically assesses the available data and analysis. Developing these thought processes takes plenty of time and practise, so you should constantly go through all potential evaluation points in every question you do – even if you only do this hypothetically (as a ‘thought experiment’), to sharpen your technique.

Secondly, and related to this, is the importance of appropriate and realistic evaluation, which is suitable for the context at hand. Thus if the cost of tobacco leaves has risen for cigarette manufacturers, it would make little sense to evaluate this by saying that the government may offer the industry subsidies to help firms offset their rising costs: cigarettes are a demerit good which the government actively discourages us from consuming so subsidies are not a sensible suggestion, even in principle. On the other hand, raising the possibility that cigarette manufacturers may themselves try to cut costs to offset rising tobacco prices (perhaps by using more efficient machines to increase labour productivity) is more realistic and, therefore, likely to get evaluation marks. In short, you must always pay attention to context and ensure that both your analysis and evaluation points are sensible in the circumstances of the case study.